

Regulatory Compliance Guidelines

CONFIDENTIAL - Internal Use Only

Effective Date: January 1, 2026

1. Know Your Customer (KYC) Requirements

All new account openings and loan applications require KYC verification:

Standard KYC (accounts under \$50,000):

- Government-issued photo ID (passport, driver's license)
- Proof of address (utility bill, bank statement within 90 days)
- Social Security Number verification

Enhanced KYC (accounts \$50,000 and above, or high-risk indicators):

- All Standard KYC documents
- Source of funds documentation
- Employment verification letter
- Tax returns for the past 2 years
- Additional reference checks for non-resident applicants

2. Anti-Money Laundering (AML) Thresholds

Transaction monitoring and reporting requirements:

Currency Transaction Reports (CTR): Required for all cash transactions exceeding \$10,000 in a single business day, whether single or aggregated transactions.

Suspicious Activity Reports (SAR): Must be filed within 30 days of detection for:

- Transactions that appear to have no business or lawful purpose
- Transactions inconsistent with the customer's known profile
- Structuring: multiple transactions just below \$10,000 threshold
- Rapid movement of funds through accounts with no apparent business reason
- Wire transfers to/from high-risk jurisdictions

Enhanced monitoring triggers:

- Single transaction exceeding \$50,000
- Cumulative monthly transactions exceeding \$100,000
- International wire transfers exceeding \$25,000
- Account activity inconsistent with stated occupation/income

3. Suspicious Activity Indicators

Red flags requiring investigation:

Transaction Patterns:

- Multiple deposits just below \$10,000 (structuring)
- Frequent large cash deposits followed by immediate wire transfers
- Account used primarily for pass-through transactions
- Sudden increase in transaction volume without business justification

Customer Behavior:

- Reluctance to provide identification or documentation
- Use of multiple accounts to aggregate funds
- Frequent changes to account ownership or signatories

- Transactions inconsistent with customer's stated business

Geographic Risk:

- Transactions involving OFAC-sanctioned countries
- Wire transfers to/from jurisdictions with weak AML controls
- Use of correspondent banking relationships in high-risk regions

4. Customer Due Diligence Levels

Risk-based due diligence tiers:

Low Risk: Standard retail customers with domestic accounts, regular employment income, and transaction patterns consistent with profile. Review cycle: every 36 months.

Medium Risk: Customers with international transactions, self-employment income, or accounts exceeding \$250,000. Review cycle: every 12 months.

High Risk: Politically exposed persons (PEPs), customers in high-risk industries (cash-intensive businesses, money services), or customers with prior SAR filings. Review cycle: every 6 months. Senior compliance officer approval required for account opening and significant transactions.